

9th Chapter

Islamic Economic System (IES)

Basis, Importance, Uniqueness, & Characteristics of IES.

Islamic Economic System and Other Economic Systems.

Illegal Earning (Kasb-e-Haram)

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Islamic Economic System (IES)

► Topics:

- Islamic Economic System (IES) (Basis, Importance, Uniqueness, & Characteristics of IES)
- Islamic Economic System and Other Economic Systems.

Understanding the Islamic Economic System

What is the Islamic Economic System?

Definition: The Islamic Economic System is a way of managing money and resources based on Islamic teachings. It guides how people earn, spend, and share wealth in a fair and honest manner.

Sources:

This system is based on:

The Quran: The holy book of Islam.

The Sunnah: Teachings and practices of Prophet Muhammad (peace be upon him).

Goal: To create a society where everyone is treated fairly, wealth is shared justly, and people's needs are met.

Example:

In Pakistan, many people prefer Islamic banking, which follows Islamic rules. For example, Meezan Bank is a popular Islamic bank that does not charge interest, as interest (called *riba*) is not allowed in Islam. Instead, they use profit-sharing methods to help people save and borrow money in a *halal* (permissible) way.

Core Principles of the Islamic Economic System

Foundations of IES

1. **Tawhid (Oneness of Allah):**

Meaning: Belief that Allah is the only creator and owner of everything.

In Economics: We are caretakers of the wealth Allah gives us. We must use it responsibly.

Example: A farmer shares a portion of his harvest with the poor, acknowledging that his produce is a blessing from Allah.

2. **Adl (Justice):**

Meaning: Being fair and just in all dealings.

In Economics: Ensuring fairness in buying, selling, and resource distribution.

Example: A shopkeeper uses honest weights and measures, ensuring customers get what they pay for.

Tazkiyah (Purification):

Meaning: Purifying one's wealth and soul.

In Economics: Avoiding dishonest earnings and giving to charity.

Example: A businessperson donates a portion of their income to charity, cleansing their wealth and helping those in need.

Example:

Islamic Banks: Institutions like Meezan Bank in Pakistan operate without charging interest, aligning with the Islamic principle of avoiding riba (interest). Instead, they engage in profit-sharing models, ensuring fairness and justice in financial transactions.



Why the Islamic Economic System Matters

Importance of IES

1. Comprehensive Guidance:

Meaning: Islamic economics provides rules for all money matters.

Example: It teaches how to earn, spend, and share money in a halal (permissible) way.

2. Social Justice:

Meaning: Ensures wealth is shared fairly among all people.

Example: Through zakat (charity), the rich help the poor, reducing poverty.

Example:

In Pakistan, **Meezan Bank** operates under Islamic principles. It doesn't charge interest on loans. Instead, it uses profit-sharing methods, ensuring fairness and helping people avoid debt problems.

3. Economic Stability:

Meaning: Avoids harmful practices that can hurt the economy.

Example: By prohibiting interest (riba), it prevents people from falling into debt traps.

4. Moral Foundation:

Meaning: Encourages honesty and fairness in all dealings.

Example: Businesspeople are taught to be truthful and not cheat customers.

5. Balanced Ownership:

Meaning: Allows people to own property but reminds them to help others.

Example: A person owns a house but also donates to build homes for the needy.

What Makes the Islamic Economic System Special?

1. Divine Origin:

Meaning: The Islamic economic system is based on teachings from Allah.

Example: The Quran and the teachings of Prophet Muhammad (peace be upon him) guide how Muslims should earn, spend, and share money.

2. No Interest (Riba):

Meaning: Charging or paying interest is not allowed in Islam.

Example: Islamic banks, like Meezan Bank in Pakistan, offer loans without interest. Instead, they use profit-sharing methods to help people borrow money in a halal (permissible) way.

Example:

In Pakistan, **Meezan Bank** operates under Islamic principles. It doesn't charge interest on loans. Instead, it uses profit-sharing methods, ensuring fairness and helping people avoid debt problems.

3. Sharing Wealth:

Meaning: Islam encourages sharing wealth with those in need.

Example: Muslims give zakat (a form of charity) to help the poor. They also set up waqf (charitable trusts) to fund schools, hospitals, and other community services.

4. Ethical Investments:

Meaning: Investing in harmful or unethical businesses is not allowed.

Example: Muslims avoid investing in companies that deal with alcohol, gambling, or other prohibited activities.

5. Focus on Helping People:

Meaning: The system aims to improve everyone's well-being, not just make profits.

Example: Islamic economics supports businesses that create jobs and provide essential services, ensuring the community benefits as a whole.

How Islamic Economics Works

1. Ownership:

Meaning: Allah is the true owner of everything; humans are caretakers.

Example: A farmer uses land to grow crops, understanding it's a trust from Allah.

2. No Interest (Riba):

Meaning: Charging or paying interest is not allowed to prevent injustice.

Example: Islamic banks, like Meezan Bank in Pakistan, offer loans without interest, using profit-sharing methods instead.

3. Sharing Wealth:

Meaning: Muslims give a portion of their wealth to help those in need.

Example: Paying zakat (2.5% of savings) annually to support the poor.

4. Sharing Risks:

Meaning: Business partners share profits and losses together.

Example: Two people start a shop, agreeing to split profits and losses equally.

5. Honest Business:

Meaning: Being truthful and fair in all trade and business dealings.

Example: A shopkeeper uses accurate scales and does not cheat customers.

6. No Hoarding:

Meaning: Keeping wealth idle without using it to benefit others is discouraged.

Example: Investing money in businesses that create jobs instead of just saving it.

7. Helping Everyone:

Meaning: Ensuring everyone's basic needs like food, shelter, and education are met.

Example: Community programs that provide free meals and schooling.

8. Ethical Investments:

Meaning: Investing only in businesses that are halal (permissible) and beneficial.

Example: Avoiding investments in alcohol or gambling industries.

Importance in Islamic Law

How Islam Guides Economic Practices

1. Social Justice:

Meaning: Islam teaches Muslims to pray and give zakat (charity) to help those in need.

Quran Reference:

“Establish prayer and give zakat, and whatever good you put forward for yourselves—you will find it with Allah.”
(Quran 2:110)

Example: In Pakistan, many Muslims give zakat during Ramadan to support poor families, ensuring they have food and basic needs.

2. Prohibition of Exploitation:

Meaning:

Charging interest (riba) is forbidden in Islam because it can lead to unfairness and harm.

Quran Reference:

“O you who have believed, do not consume usury, doubled and multiplied, but fear Allah that you may be successful.”
(Quran 3:130)

3. Moral Accountability:

Meaning:

Being honest and trustworthy in business is highly valued in Islam.

Hadith Reference:

The Prophet Muhammad (peace be upon him) said, “The truthful and trustworthy merchant will be with the Prophets, the truthful, and the martyrs.”
(Tirmidhi, Hadith 1209)

Comparing Economic Systems: Islamic, Capitalism, Socialism, and Communism

Understanding Economic Systems: Islamic, Capitalism, Socialism, and Communism

What is an Economic System?

An economic system is the way a country organizes its money, jobs, and resources. It decides:

Who owns what?

How do people earn money?

How are goods and services shared?



Four Main Economic Systems:

1. Islamic Economic System

Belief: All wealth belongs to Allah; humans are caretakers.

Key Features:

- No interest (riba) is allowed.
- Wealth is shared through zakat (charity).
- Business must be honest and fair.

Example: Pakistan uses Islamic banking that avoids interest.

2. Capitalism

Belief: People can own businesses and make profits.

Key Features:

- Private ownership of property and businesses.
- Prices set by supply and demand.
- Minimal government control.

Example: The United States has a capitalist economy.

Four Main Economic Systems:

3. Socialism

Belief: The government should ensure everyone has equal access to resources.

Key Features:

- Government owns major industries.
- High taxes fund free healthcare and education.
- Aim to reduce income differences.

Example: Sweden provides free healthcare and education funded by taxes.

4. Communism

Belief: All property is owned by the community; no private ownership.

Key Features:

- Government controls all businesses and resources.
- Everyone gets equal share, regardless of work.
- No competition; no private profit.

Example: North Korea has a communist economy.

Four Main Economic Systems

How Countries Manage Money: Four Economic Systems

1. Islamic Economic System

Based on: Teachings from the Quran and Prophet Muhammad (peace be upon him).

•Key Features:

- No interest (riba) is allowed.
- Wealth is shared through zakat (charity).
- Business must be honest and fair.

•Example: In Pakistan, Meezan Bank operates without charging interest, following Islamic principles.

2. Capitalism

Based on: Private ownership and profit-making.

Key Features:

- Individuals own businesses and property.
- Prices are set by supply and demand.
- Minimal government control.

Example: The United States has a capitalist economy where companies like Apple and Amazon are privately owned.

Four Main Economic Systems

Capitalism - How Capitalism Works: Basics and Examples

What is Capitalism?

Capitalism is an economic system where people and companies own businesses and property. They aim to make profits by selling goods and services.

Key Features:

Private Ownership: Individuals and companies own businesses and land.

Profit Motive: The main goal is to earn profits.

Free Market: Prices are set by supply and demand.

Limited Government Role: The government has minimal control over businesses.

Example: The United States is a capitalist country. Companies like Apple and Amazon are privately owned and aim to make profits by selling products and services.

Pros (Good Points):

Encourages Innovation: Businesses try to create new and better products to earn more profits.

Consumer Choice: People have many options to choose from when buying goods and services.

Economic Growth: Successful businesses can lead to job creation and a growing economy.

Cons (Bad Points):

Income Inequality: Some people become very rich, while others may remain poor.

Exploitation Risk: Workers may be paid low wages to increase company profits.

Neglect of Public Welfare: Essential services like healthcare and education may be underprovided.

Four Main Economic Systems

Socialism - How Socialism Works: Basics and Examples

What is Socialism?

Socialism is an economic system where the government owns major industries and aims to distribute wealth equally among all citizens. The goal is to reduce the gap between the rich and the poor.

Key Features:

- Government Ownership:** The government owns and controls key industries like healthcare, education, and transportation.
- Free Public Services:** Citizens receive free or low-cost services such as healthcare and education.
- High Taxes:** To fund these services, the government collects higher taxes, especially from higher-income individuals.
- Wealth Redistribution:** The system aims to redistribute wealth to ensure everyone has access to basic needs.

Example: Sweden

Sweden is often cited as a country that implements socialist principles. The Swedish government provides free healthcare and education to its citizens, funded by higher taxes. This system aims to ensure that all citizens have equal access to essential services.

Four Main Economic Systems

Socialism - How Socialism Works: Basics and Examples

Pros (Advantages):

Reduces Poverty: By providing free essential services, socialism helps reduce poverty levels.

Equal Access: All citizens have equal access to healthcare, education, and other services.

Social Welfare: The system supports those in need, such as the unemployed, elderly, and disabled.

Cons (Disadvantages):

High Taxes: To fund public services, citizens may face higher taxes, which can be burdensome.

Reduced Incentives: With wealth distributed more equally, individuals may feel less motivated to work harder or innovate.

Government Control: Extensive government control over industries can lead to inefficiencies and lack of competition.

Four Main Economic Systems

How Communism Works: Basics and Examples

What is Communism?

Communism is an economic and political system where all property and resources are owned by the community or the government. The goal is to create a classless society where everyone is equal, and wealth is shared equally among all people.

Key Features:

- No Private Ownership:** Individuals do not own businesses or land; the government or community owns everything.
- Equal Distribution:** Everyone receives the same share of resources, aiming to eliminate the gap between rich and poor.
- Central Planning:** The government decides what goods are produced, how much is produced, and the prices.
- Work for the Common Good:** People work not for personal profit but to benefit the entire community.

Example: North Korea

North Korea is an example of a country that follows communist principles. The government controls all industries, land, and resources. Citizens work in jobs assigned by the state, and the government provides basic needs like food and housing. However, the country faces challenges such as limited personal freedoms and economic difficulties.

Four Main Economic Systems

How Communism Works: Basics and Examples

Pros (Advantages):

Equality: Aims to eliminate class differences, ensuring everyone has the same status.

Basic Needs Met: The government provides essential services like healthcare and education to all citizens.

No Unemployment: The state assigns jobs to everyone, aiming for full employment.

Cons (Disadvantages):

Lack of Motivation: Since everyone earns the same, individuals may lack the incentive to work harder or innovate.

Limited Personal Freedom: The government controls many aspects of life, which can restrict individual choices.

Inefficiency: Central planning can lead to poor decision-making, resulting in shortages or surpluses of goods.

Four Main Economic Systems

How the Islamic Economy Works: Basics and Examples

What is the Islamic Economic System?

The Islamic Economic System is a way of managing money and resources based on Islamic teachings from the Quran and the Sunnah practices of Prophet Muhammad ﷺ. It focuses on fairness, justice, and helping everyone in society.

Key Features:

•**No Interest (Riba):** Charging or paying interest is not allowed. Instead, people share profits and losses.

Charity (Zakat): Muslims give a small part of their wealth (usually 2.5%) to help the poor and needy.

Ethical Business: Businesses must be honest and avoid harmful activities like selling alcohol or gambling.

Risk Sharing: People and banks share the risks and rewards in business deals.

Helping Society: The system encourages helping others and reducing the gap between rich and poor.

Example: Saudi Arabia

Saudi Arabia follows many Islamic economic principles. For example, banks in Saudi Arabia offer services without charging interest. The government also collects zakat to support social programs.

Four Main Economic Systems

How the Islamic Economy Works: Basics and Examples

Pros (Advantages):

Fairness: Everyone is treated justly, and wealth is shared to help those in need.

Moral Guidance: People are encouraged to be honest and responsible with money.

Stability: By avoiding risky financial practices, the system aims for a stable economy.

Cons (Challenges):

Requires Strong Faith:

People need to be committed to Islamic principles for the system to work well.



How Different Economies Work: Capitalism, Socialism, Communism & Islamic System

Comparison Table

<u>Aspect</u>	<u>Capitalism</u>	<u>Socialism</u>	<u>Communism</u>	<u>Islamic Economic System</u>
Ownership	Private	Government	Community	Allah is the true owner
Wealth Distribution	Unequal	More equal	Equal	Through Zakat and charity
Profit Motive	High	Moderate	Low	Within ethical limits
Interest (Riba)	Allowed	Allowed	Allowed	Prohibited
Ethical Guidelines	Market-driven	Government policies	State-controlled	Based on Shariah

Examples

- Capitalism:** A tech company in the USA creates a new gadget and sells it for profit.
- Socialism:** In Sweden, the government provides free education and healthcare to all citizens.
- Communism:** In North Korea, the government assigns jobs to people, and all businesses are state-owned.
- Islamic Economic System:** In Saudi Arabia, banks operate without charging interest, and people give Zakat to support the needy.